

Sri Lanka's Debt Crisis and Recovery

The First Default, Hambantota, and the IMF Restructuring

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Executive Summary

Sri Lanka's economic collapse of 2022 was the most acute sovereign debt crisis in Asia since Indonesia's 1997-1998 meltdown and the most dramatic political upheaval in South Asian history since Bangladesh's 1971 liberation war. By April 2022, Sri Lanka's foreign exchange reserves had fallen to approximately \$50 million of usable reserves — less than a day of import cover — against a \$51 billion external debt obligation. Fuel stations ran dry; supermarkets emptied; hospitals ran out of medicine; power cuts of 12-13 hours daily darkened homes and offices. The social contract between the Rajapaksa political dynasty — which had dominated Sri Lankan politics since Mahinda Rajapaksa's 2005 election — and the Sri Lankan people collapsed when hundreds of thousands of protesters stormed the Presidential Palace on July 9, 2022. President Gotabaya Rajapaksa fled to the Maldives, then Singapore, then the United States, before resigning on July 14, 2022. Sri Lanka declared its first default on external commercial debt since independence.

By August 2026, Sri Lanka has completed four years of painful recovery: the IMF's \$2.9 billion Extended Fund Facility (March 2023, 48 months) has anchored fiscal consolidation; bilateral debt restructuring with India (2023) and China (2023-2024) has reduced the immediate debt service burden; GDP growth has returned (approximately 4-5% in 2024-2025 after -7.8% in 2022); inflation has fallen from a peak of 70.2% (September 2022) to approximately 3-5% (2025-2026); tourism has recovered to approximately 1.8-2 million visitors; and a new government under President Dissanayake (elected September 2024) is attempting to implement the structural reforms that the IMF demands while managing the political expectations of a population exhausted by four years of austerity. The recovery is real — but it is incomplete, uneven, and vulnerable to the same structural vulnerabilities that caused the crisis.

Part I — Anatomy of a Collapse

How Sri Lanka's Economy Imploded

Sri Lanka's 2022 collapse was not a sudden shock but the culmination of multiple policy failures compounding over a decade:

1. Debt-fuelled infrastructure splurge: The Rajapaksa government borrowed aggressively to fund infrastructure projects — Hambantota Port, Mattala Rajapaksa International Airport (the "world's emptiest airport"), the Port City Colombo reclamation project — many of which were white elephants with poor economic returns but high political visibility. Chinese sovereign loans for these projects (from China Exim Bank, at commercial rather than concessional rates) accumulated to approximately \$7 billion by 2022.
2. Tax cuts in the wrong direction: Newly elected President Gotabaya Rajapaksa's first economic act (November 2019) was a sweeping tax cut package that reduced VAT from 15% to 8%, abolished the

Nation Building Tax, and eliminated several other revenue streams — costing approximately \$1.4 billion annually in foregone government revenue. The timing was catastrophic: COVID-19 arrived four months later, devastating tourism (Sri Lanka's largest foreign exchange earner) and remittances, while government revenue had already been gutted.

3. Organic farming mandate: In April 2021, President Gotabaya decreed that Sri Lanka would immediately switch to 100% organic agriculture — banning all chemical fertilisers and pesticides overnight. The result was a crop production collapse: rice yields fell 40%+ within a season, driving food price inflation and requiring emergency food imports that consumed scarce foreign exchange. The organic mandate was reversed seven months later, but the agricultural damage took years to recover.

4. Tourism and remittance collapse from COVID: Tourism — contributing approximately \$4-5 billion annually pre-COVID — fell to near-zero in 2020-2021. Remittances from the 2+ million Sri Lankan diaspora (a \$7 billion annual flow) were diverted to hawala channels as the official exchange rate became increasingly overvalued and unfavourable. The overvalued rupee — which the Central Bank maintained until it ran out of reserves to defend it — compressed export competitiveness and discouraged dollar inflows while encouraging capital flight.

5. Late and insufficient IMF engagement: Sri Lanka resisted approaching the IMF until April 2022 — by which point reserves had essentially run out, the rupee had been allowed to collapse 80% in six weeks (from LKR 200 to LKR 360 per USD), and the damage to confidence required a far larger and more disruptive adjustment than early engagement would have required.

Part II — The Debt Restructuring

China, India, and the Paris Club

Sri Lanka's external debt restructuring — a necessary precondition for IMF programme disbursements — required negotiations with bilateral creditors (led by India and China), commercial creditors (international sovereign bondholders holding \$12.5 billion in international sovereign bonds), and multilateral institutions (which are not restructured as a matter of policy). The structure: IMF conditionality for the \$2.9 billion EFF package required Sri Lanka to reach comparable treatment agreements across all creditor categories before disbursements could continue.

India — Sri Lanka's largest bilateral creditor and immediate neighbour — moved relatively quickly. India provided \$4 billion in emergency financing (credit lines, currency swaps) during the crisis and signed a financing assurance agreement in September 2023, enabling the second IMF review to proceed. India's speed reflected strategic calculation: allowing China to position itself as Sri Lanka's primary debt restructuring partner (and potential military-strategic investor post-restructuring) was worse than taking a haircut on Indian bilateral loans.

China — Sri Lanka's second-largest bilateral creditor (approximately \$6.8 billion across Exim Bank loans and other facilities) — moved more slowly. China participated in a creditor committee alongside India (a format China initially resisted, insisting on bilateral negotiations) and signed a financing assurance agreement in 2024 — a precedent-setting outcome in which China participated in a G20 Common Framework-style multilateral creditor coordination process for the first time. The agreement restructured approximately \$4.2 billion in Exim Bank loans through a combination of maturity extension, interest rate reduction, and grace period extension — avoiding a face-value haircut that China was institutionally reluctant to accept.

International sovereign bondholders reached a restructuring agreement in November 2024 — writing down face value by approximately 27% and extending maturities by 12 years, with GDP-linked payment features that allow additional debt service if Sri Lanka's economy grows above expectations.

Part III — Hambantota and the Debt Trap Debate

The Lease That Defined a Narrative

In December 2017, Sri Lanka leased 70% of Hambantota Port — built with \$1.1 billion in Chinese loans, making less money than debt service required — to China Merchants Port Holdings on a 99-year operating lease for \$1.12 billion, using the proceeds to bolster central bank reserves. The Hambantota deal became the canonical example of "debt trap diplomacy" — the theory that China deliberately provides uneconomic loans to developing countries to acquire strategic assets when the loans cannot be repaid.

The academic and analytical debate has been contested: researchers at Johns Hopkins SAIS and Chatham House examining the Hambantota evidence found that the deal resulted from Sri Lanka's domestic political decision (to raise cash for reserves) rather than Chinese pressure, that China did not initially seek a 99-year lease, and that the "port for debt" characterisation overstates Chinese strategic design. The port remains under Chinese operational management as of 2026, has not been converted to a PLA naval base (as Sri Lanka's security agreements with China prohibit), and generates modest commercial traffic that has grown below initial projections.

Whether or not the original deal was a debt trap by design, its political consequences were real: the Hambantota lease contributed to the political delegitimisation of the Rajapaksa government and gave momentum to the "debt trap" narrative that has made China's BRI lending significantly more scrutinised by recipient countries globally.

Part IV — The Recovery and New Political Landscape

President Dissanayake and the People's Power

Sri Lanka's September 2024 presidential election — the first held after the economic crisis — produced a result that would have seemed impossible before 2022: the victory of Anura Kumara Dissanayake (AKD), leader of the NPP (National People's Power) coalition anchored by the JVP (Janatha Vimukthi Peramuna), a formerly Marxist party that led two armed insurrections (1971, 1987-1989) before transitioning to electoral politics. Dissanayake won with 42% of first-preference votes against divided establishment candidates — a historic first for a party that received 3.2% of the vote in 2019. The political message: the Rajapaksa dynasty and the mainstream parties (SLFP, UNP) that alternately governed Sri Lanka for 75 years had destroyed their credibility through the economic catastrophe, and Sri Lankans chose the most credibly anti-establishment candidate available.

The recovery path: Sri Lanka's GDP growth of approximately 4.5% in 2025 reflects genuine improvement — tourism recovery (1.9 million visitors), remittance recovery (official channel incentives restored), agricultural recovery, and private consumption recovering as inflation normalised. But per-capita GDP (\$4,000 in 2024/2025) has still not recovered to pre-crisis 2021 levels (\$4,200), and the primary budget surplus required by the IMF EFF (estimated 2.3% of GDP by 2025) imposes fiscal austerity that constrains public services at a time when the population needs them most.

Conclusion: Recovered but Not Restored

Sri Lanka in 2026 is no longer in crisis — it is in recovery. The default has been restructured, the IMF anchor is holding, growth has resumed, and inflation has normalised. But the structural vulnerabilities that caused the crisis — over-dependence on tourism (a single shock-prone sector), a tea export industry facing climate and market challenges, persistent fiscal fragility, and a political culture that has repeatedly elected populists promising fiscally irresponsible tax cuts and subsidies — have not been structurally

resolved.

The Dissanayake government's challenge: IMF EFF conditionality requires sustained austerity while the political mandate is for relief. The tension between IMF fiscal targets and democratic legitimacy is the same tension that every country emerging from a debt restructuring faces. Sri Lanka's recovery is real. Whether it produces the structural reforms that prevent the 23rd IMF programme is the defining question of the next decade.

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All data from IMF, Central Bank of Sri Lanka, World Bank, Chatham House, and cited sources.